PRIORITY 16 OF 33 · SCORE 3.0

State (incl. foreign assistance)

State now holds most U.S. foreign assistance after USAID's programs moved under it in 2025 (see USAID for the wind-down). Foreign aid fraud is diversion, inflated costs and fake beneficiaries through chains of implementing partners and local subgrantees. Prime awards are public; the local end of the chain mostly is not. Public data can rank implementing partners and spot shared ownership, but not verify delivery on the ground.

INVESTIGATIONS WE PROPOSE

- **STATE-1** Implementing-partner concentration in the ten largest aid countries. **First prototype.**
- **STATE-2** Partners linked to OFAC, UN or World Bank lists.
- **STATE-3** Overhead and unit cost outliers; embassy construction contracts.

EXPOSURE

- $39B in outlays and $95B in budgetary resources in FY2026, including foreign assistance accounts.
- Passport and visa fraud is a separate, revenue and security risk handled by Diplomatic Security.
- No State program reports a high-risk improper payment estimate.

PUBLIC DATA WE USE

- **ForeignAssistance.gov** and **USAspending:** awards by implementing partner, country and sector.
- **FPDS** for embassy construction, security and logistics contracts.
- **SAM.gov** exclusions; State OIG and USAID OIG reports and cases.
- **IATI** data published by implementing partners.

HOW WE DETECT IT

1. **Partner concentration:** implementers that win large shares of a country's aid with weak competition, or that share officers with subcontractors.
2. **Excluded and sanctioned links:** partners or subgrantees linked to excluded parties or to OFAC sanctions lists.
3. **Cost outliers:** overhead and unit costs far above peers for the same sector and country.

FIRST PROTOTYPE

An implementing-partner risk profile for the ten largest aid recipient countries, joining award data, exclusions and sanctions lists.

SCORECARD

Fraud savings identified
● Pending

Phase 1 window
Weeks 10–13
Jan 18, 2027 to Feb 12, 2027

Workstream
Shared screens

FY2026 outlays
$38.8B · budget rank 15

Leads go to
State OIG, Foreign Assistance

WHY PRIORITY 16

Exposure	●●●○○
Public data	●●●○○
SBA method fit	●●●○○
Actionability	●●●○○

OUR REVIEW, DELIVERED WEEK 13

Implementing-partner profile for the ten largest recipient countries from ForeignAssistance.gov, USAspending and IATI; partner concentration and competition; links to OFAC, UN and World Bank debarment lists; overhead and unit cost outliers. Contractor screen on embassy construction and logistics.

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

WHAT WE ASK OF STATE

Phase 2 data: Partner financial reports, beneficiary lists, borrower KYC.

What it enables: Diversion and ghost beneficiaries; borrower ownership.

Access route: Each OIG.

LIMITS

Subawards to foreign local partners are thinly reported. Delivery cannot be verified from public data.

SOURCES

- ForeignAssistance.gov
- USAspending agency profiles (FY2026 outlays)
- GAO-26-108694: FY2025 improper payments

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

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